

Greggs plc – DCF Valuation

Self-directed equity valuation. Aaron Mandir

Discounted cash flow model built from primary financial statements (Greggs Annual Reports 2022, 2023, 2024) – LSE:GRG

Base case: £8.99 per share vs £19.15 market price. On a conservative reading, the model implies material downside- but the gap is driven almost entirely by one assumption (capex), making this less a “Sell” call than a question about whether Greggs’

THE COMPANY

Greggs is a UK food on the go retailer with a simple, cash generative model: it sells baked goods through a large and expanding shop estate. That simplicity – predictable revenue, stable margins, no financial sector complexity – makes it well suited to a first principle DCF

APPROACH

I extracted the historical figures directly from the consolidated income statement, cash flow statement and balance sheet, then forecast five years of free cash flow and discounted them to present value. Key assumptions, each grounded in the accounts:

Revenue growth	8.0% (below recent 11%, reflecting maturing estate)
EBIT margin	9.8% (three year average)
Capex % of revenue	11.5% (recent two year average – deliberately conservative)
Tax rate	25% (UK statutory)
WACC	10.7%(built from CAPM; Greggs is near all equity funded)
Terminal growth	2.0% (near long run UK GDP)

RESULT

The model returns an enterprise value of ~£787m and, after adding Greggs’ net cash, an equity value of ~£912m —implying £8.89 per share. A sensitivity analysis across WACC (9–13%) and terminal growth (1.5–3.0%) produces a range of roughly £7.04 to £12.68.